

Year-End Closure Process – End-to-End Guide

Document Title: Year-End Close Checklist & Procedure

System: Dynamics 365 Finance – General Ledger Process Area:

Financial Close / Year End

Document Type: SOP & Control Checklist

Version: 10.0.45.

Purpose and Business Explanation of Year-End Close

The Year-End Close is a critical financial process that formally completes an organization's accounting activities for a fiscal year and prepares the system for the next fiscal year.

Business Purpose

The year-end close ensures that the company's financial results are accurate, finalized, and compliant with accounting standards and audit requirements. It supports:

- Accurate financial reporting (Income Statement, Balance Sheet)
- Regulatory and audit compliance
- Proper calculation of net profit or loss for the year
- Clean separation between prior-year and current-year transactions.

Accounting Impact

During the year-end close:

- All Profit and Loss (P&L) accounts (revenue and expense accounts) are zeroed out
- The net result (profit or loss) is automatically transferred to the Retained Earnings account
- Balance Sheet accounts carry forward their closing balances as opening balances for the new fiscal year.

This ensures that the new fiscal year starts with:

- Zero balances in income statement accounts
- Correct opening balances for assets, liabilities, and equity

System Impact in Dynamics 365 Finance

In Dynamics 365 Finance, the year-end close:

- Creates system-generated closing vouchers
- Prevents posting inconsistencies across fiscal years
- Establishes the opening balances for the next year
- Allows controlled re-closing if adjustments are required

Why Year-End Close Is Mandatory

Without running the year-end close:

- Opening balances for the new year may be incorrect

- Financial statements may be misstated
- Audit trails and retained earnings may not reconcile
- Regulatory and internal control requirements may be violated.

Risks of Not Performing the Year-End Close – Executive Summary

Failure to perform the year-end close can result in incorrect opening balances, misstated financial statements, and inaccurate retained earnings, which directly impacts management reporting and statutory accounts. Profit and loss accounts may continue to accumulate balances across years, leading to audit issues, reconciliation failures, and non-compliance with accounting standards. Additionally, the absence of a formal year-end close weakens financial controls, increases the risk of posting errors across fiscal years, and can cause regulatory, audit, and governance concerns.

Purpose of Year-End Close

The year-end close process:

- Transfers all **profit and loss balances** to the **Retained Earnings** account
- Resets income statement accounts for the new fiscal year
- Carries forward **opening balances** to the next fiscal year
- Prepares the system for posting transactions in the new year

Year-end Closure process ends to end steps:

Step 1: Configure General Ledger Parameters

Navigation

General ledger > Ledger setup > General ledger parameters

Under Ledger, select Fiscal year close.

Settings

- Delete existing year-end entries when re-closing the year → Yes
Allows the year-end close to be re-run if corrections are required.
- Set fiscal year status to permanently closed → No
Keeps the fiscal year open in case adjustments are needed after close.

Standard view

General ledger parameters

Ledger

Set up general information for general ledger

Ascending

Start journalizing report at page one

☒ No

Check journalizing

☒ No

CASH CONTROL VALIDATION

Financial dimension set

Accounting rules

FINANCIAL DIMENSIONS

Values used for summary account

Source document

ACCOUNTING RULES TO USE

Use posting definitions

☒ No

Summarize settlement voucher

☒ No

COMMITMENT ACCOUNTING

☐ Enable budget appropriation

☐ Enable encumbrance process

☐ Enable pre-encumbrance process

☐ General budget reservations

TRANSACTION REVERSAL

Correction

☒ No

Fiscal year close

FISCAL YEAR CLOSE

Delete existing year-end entries when...

☒ Yes

Create closing transactions during tra...

☒ No

Set fiscal year status to permanently cl...

☒ No

Use Fund dimension for year-end tran...

☒ No

Track year-end closing entries created ...

☒ No

Electronic reporting

S

Step 2: Define Retained Earnings Account

Navigation

General ledger > Posting setup > Accounts for automatic transactions

Configuration

- Posting type: Year-end result
- Main account: Retained Earnings (example: 31260101)

Explanation:

This setup ensures that all profit or loss for the year is transferred automatically to the retained earnings account during year-end close.

S

Accounts for automatic transactions

Standard view

Filter

Posting type	Main account	Name
Penny difference in reporting cur...		
Error account		
Penny difference in accounting ...		
Year-end result	31260101	Retained Earnings (Opening Bal...
Balance account for consolidati...		
Customer cash discount		
Vendor cash discount		
Order invoice rounding		
Vendor invoice rounding-off		

Step 3: Verify Fiscal Calendar

Navigation

General ledger > Calendar > Fiscal calendar

Action

- Select the fiscal calendar used for year-end close (e.g., FY 2022, 2023, 2024)

Explanation:

The system uses the fiscal calendar to identify fiscal years and periods during the close process.

The screenshot shows the 'Fiscal calendars' interface. On the left, a sidebar contains a 'Calendar' dropdown menu with '2024' selected. The main area is titled 'Fiscal calendars' and includes a 'Standard view' dropdown. Below this, there is a 'Fiscal year' section with a 'Delete year' and 'Rename year' dropdown. The 'Fiscal year' table shows '2025' with a start date of '1/1/2025' and an end date of '12/31/2025'. Below this is a 'Periods' section with a 'Delete period', 'Create closing period', and 'Divide period' dropdown. The 'Periods' table lists 11 periods from 'Period 0' to 'Period 11' with their respective start and end dates and quarters.

Period name	Type	Start date	End date	Short name	Month	Quarter	Comments
Period 0	Opening	1/1/2025	1/1/2025	One	Quarter 1		
Period 1	Operating	1/1/2025	1/31/2025	One	Quarter 1		
Period 2	Operating	2/1/2025	2/28/2025	Two	Quarter 1		
Period 3	Operating	3/1/2025	3/31/2025	Three	Quarter 1		
Period 4	Operating	4/1/2025	4/30/2025	Four	Quarter 2		
Period 5	Operating	5/1/2025	5/31/2025	Five	Quarter 2		
Period 6	Operating	6/1/2025	6/30/2025	Six	Quarter 2		
Period 7	Operating	7/1/2025	7/31/2025	Seven	Quarter 3		
Period 8	Operating	8/1/2025	8/31/2025	Eight	Quarter 3		
Period 9	Operating	9/1/2025	9/30/2025	Nine	Quarter 3		
Period 10	Operating	10/1/2025	10/31/2025	Ten	Quarter 4		
Period 11	Operating	11/1/2025	11/30/2025	Eleven	Quarter 4		

Step 4: Verify Ledger Calendar & Period Status

Navigation

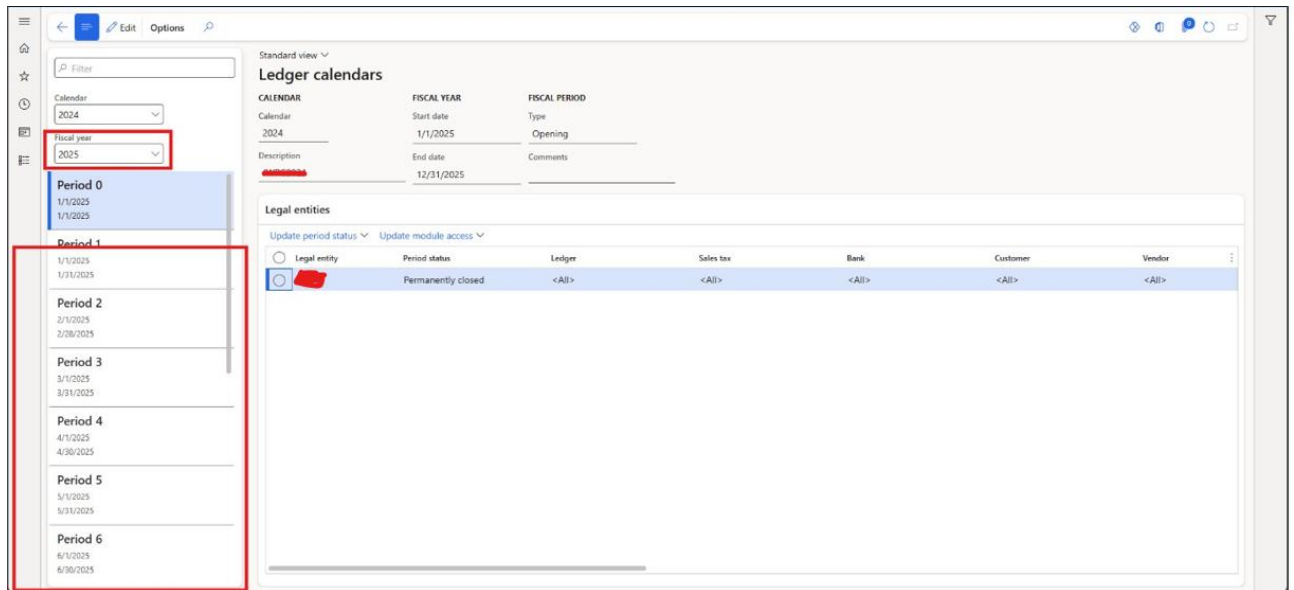
General ledger > Calendar > Ledger calendar

Action

- Confirm the fiscal year you want to close (e.g., 2023 or 2024)
- Ensure all required periods are open

Explanation:

The year-end closure will fail if periods are closed or incorrectly configured.



Step 5: Open Year-End Close Workspace

Navigation

General ledger > Period close > Year-end close

Notes

- The Year-end close form opens
- You can process **multiple legal entities** in one run

Action

Click **Year-end close template setup**

Step 6: Create Year-End Close Template

Action

1. Click **+ New**
2. Enter **Group name** (example: **select the target legal entity**)
3. Select **Fiscal calendar** (example: **2024 – SELECT TARGET LEGAL ENTITY**)

Add Legal Entity

- Click **Add entity**
- Select the **Legal Entity** and click **OK**
- Select **Retained Earnings account** (example: **31260101**)

Explanation:

Templates help standardize and reuse year-end close settings for future periods.

Step 7: Run Year-End Close

Navigation

- Return to the previous screen using the Back (<) arrow

Action

- From Run year-end close, select Run year-end close
- Choose the template/group (example: SELECT TARGET LEGAL ENTITY)
- Click OK

Step 8: Enter Run Parameters

Pop-up Screen

- **Fiscal year:** Select the year to close (e.g., 2022 / 2023 / 2024)
- **Voucher number:** Enter voucher (example: V10000)
- **Batch processing:** Enabled

Action

Click **OK**

Explanation:

Batch processing allows the system to run close in the background without interrupting users.

Step 9: Monitor Batch Job

The **Run fiscal close** job is now submitted to the batch queue.

Step 10: Check Batch Job Status

Navigation

System administration > Inquiries > Batch jobs

Action

- Confirm the job status is **Ended**
- Ensure there are **no errors**.

Step 11: Validate Opening Balances

Navigation

General ledger > Inquiries and reports > Trial balance

Action

- **Run the Trial Balance for the new fiscal year**
- **Example date range: 01-Jan-2025 to 31-Dec-2025**
- **Expected Result**
- **Opening balances are displayed**
- **Profit & loss accounts are reset**

-
- **Retained earnings reflect prior year's results**

Year-End Close Checklist

Use this checklist to ensure the year-end close is completed accurately, consistently, and in compliance with accounting and audit requirements. The checklist is classified by **process phase** to improve clarity, accountability, and audit traceability.

1. Pre–Year-End Close (Data Readiness C Controls)

Checklist Item	Yes	No
All sub-ledger transactions (AP, AR, FA, Inventory) are fully posted	☐	☐
All General Ledger journals are reviewed and posted	☐	☐
Trial balance is reviewed and reconciled	☐	☐
Retained Earnings account is configured correctly	☐	☐
Fiscal calendar and ledger periods are reviewed and open	☐	☐
General Ledger parameters for year-end close are verified	☐	☐
Required approvals are obtained	☐	☐
System backup or database copy is completed	☐	☐

2. During Year-End Close (Execution C System Control)

Checklist Item	Yes	No
Correct fiscal year is selected for closure	☐	☐
Correct retained earnings account is selected	☐	☐
Voucher number is defined as per numbering policy	☐	☐
Batch processing is enabled	☐	☐
Batch job is monitored until completion	☐	☐
No system or posting errors are reported	☐	☐

3. Post–Year-End Close (Validation C Reporting)

Checklist Item	Yes	No
Batch job status is confirmed as successful	☐	☐
Opening balances for the new fiscal year are verified	☐	☐
Profit and Loss accounts show zero opening balances	☐	☐
Retained earnings balance is validated	☐	☐
Trial balance for the new year is reviewed	☐	☐
Financial statements are generated and reviewed	☐	☐
Any required post-close adjustments are documented	☐	☐